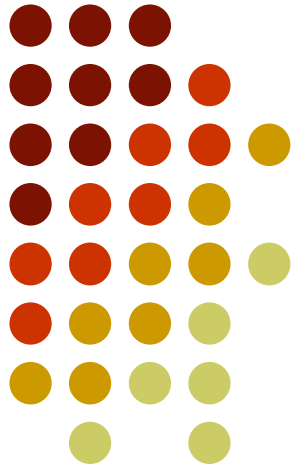
Trading Strategies Involving Options

Chapter 11



Strategies to be Considered

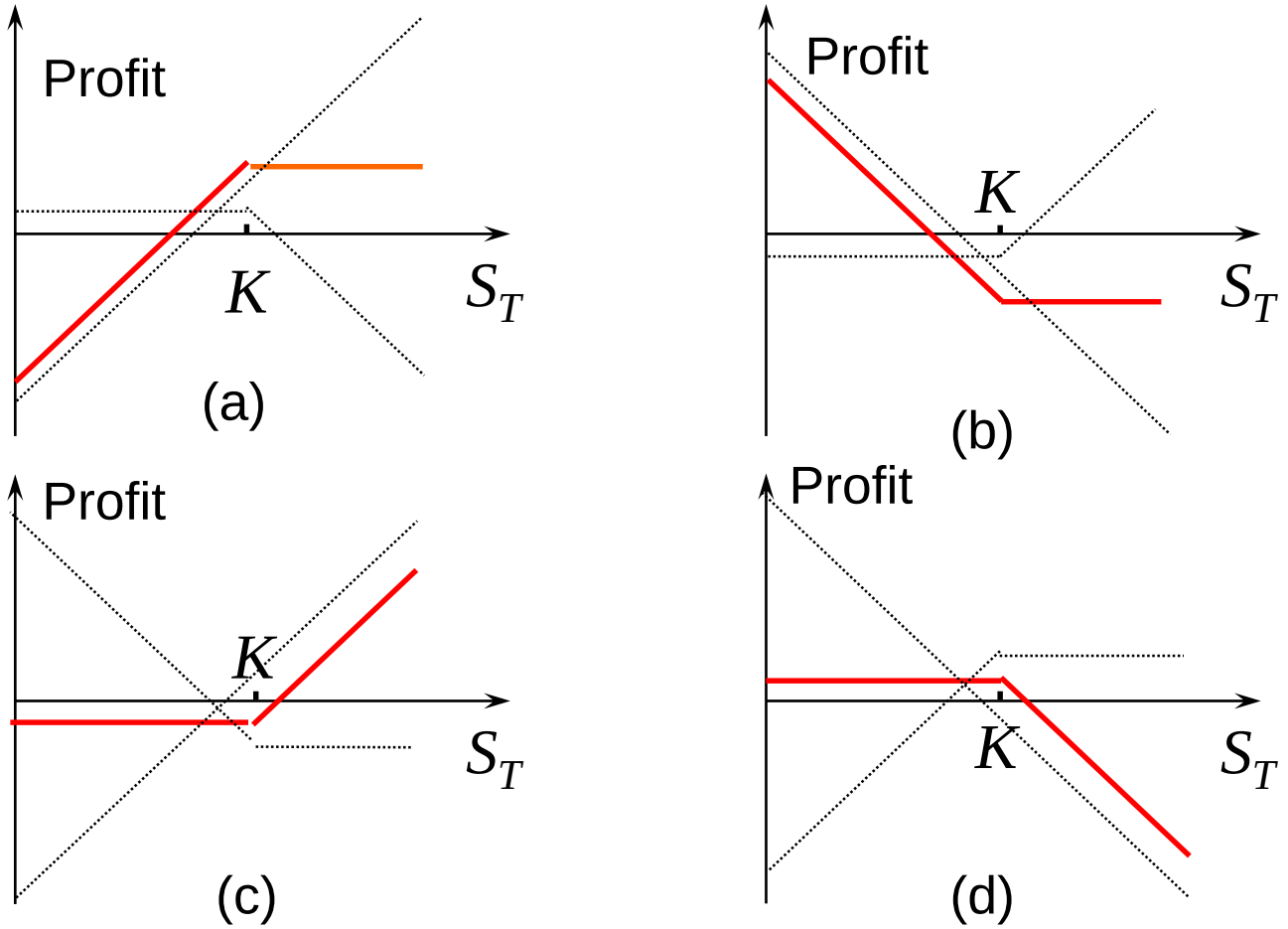


- Bond plus option to create principal protected note
- Stock plus option
- Two or more options of the same type (a spread)
- Two or more options of different types (a combination)

Principal Protected Note

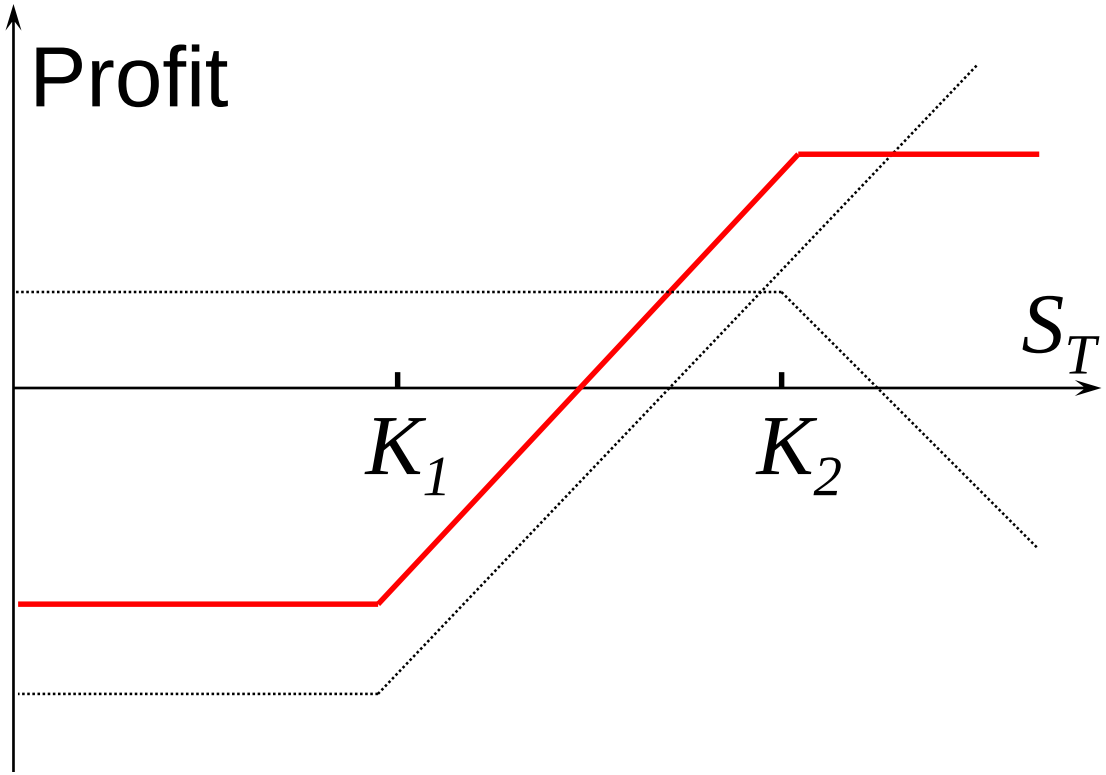
- Allows investor to take a risky position without risking any principal
- Example: $1000 instrument consisting of
  - 3-year zero-coupon bond with principal of $1000
  - 3-year at-the-money call option on a stock portfolio currently worth $1000

Positions in an Option & the Underlying (Figure 11.1, page 257)



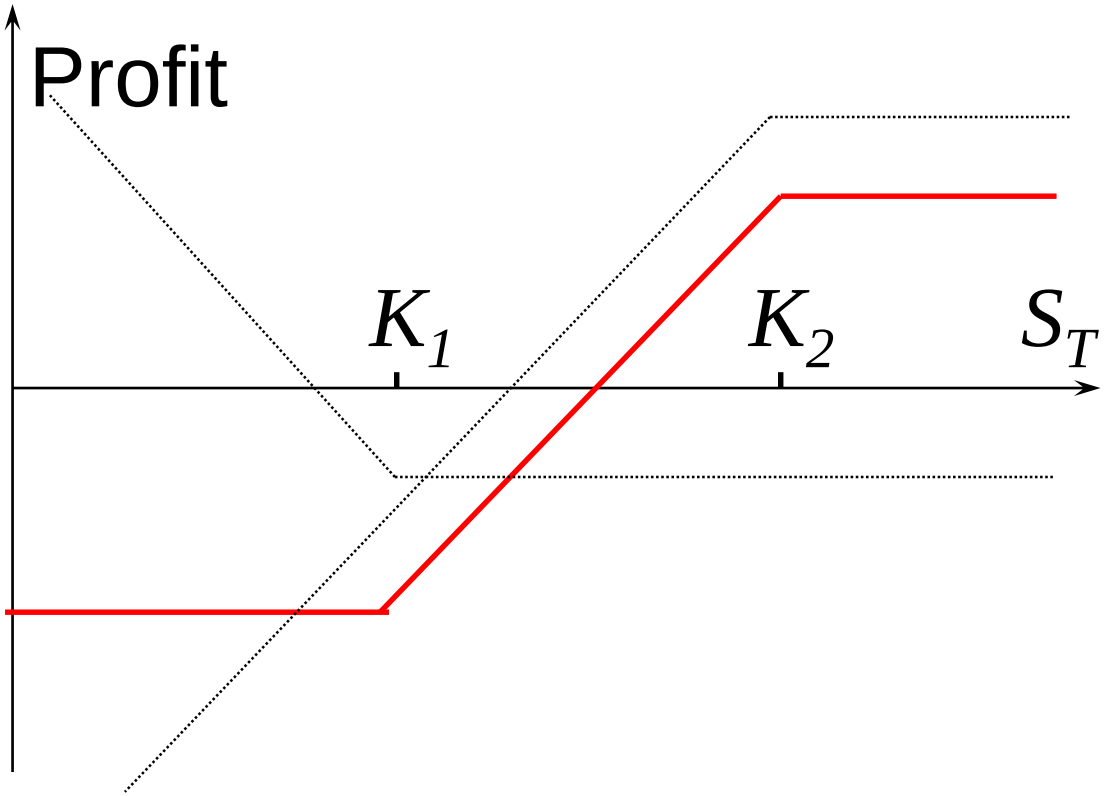
Bull Spread Using Calls

(Figure 11.2, page 258)



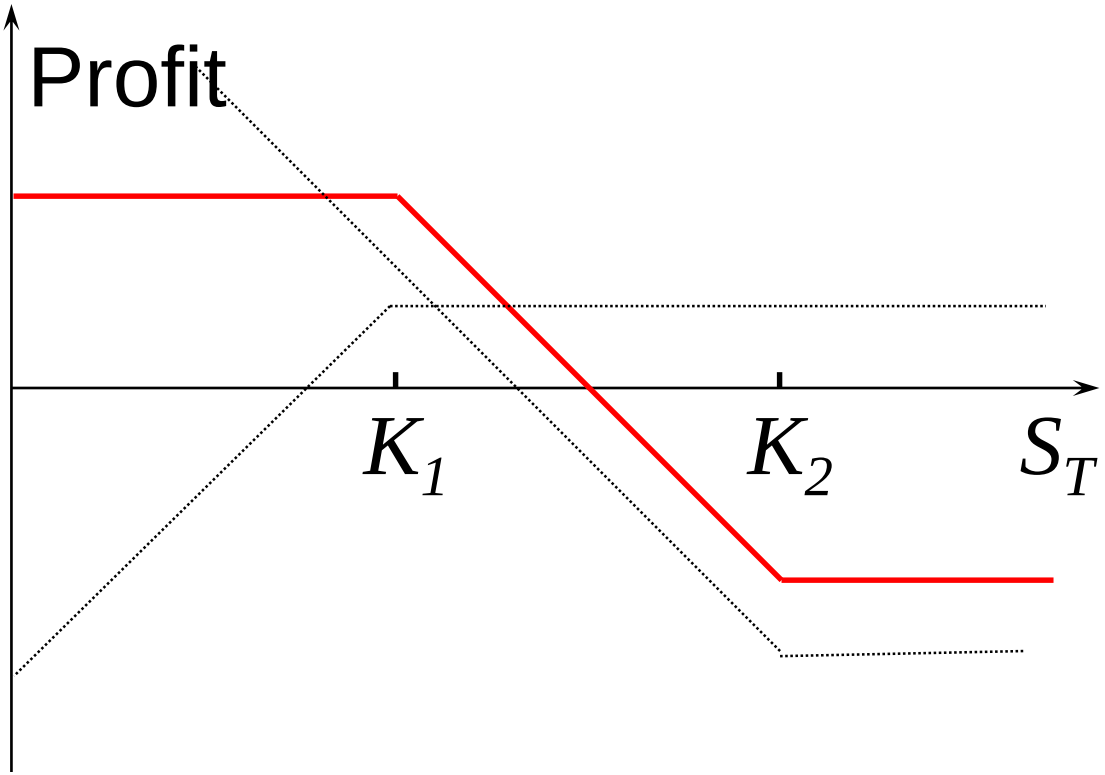
Bull Spread Using Puts

Figure 11.3, page 259



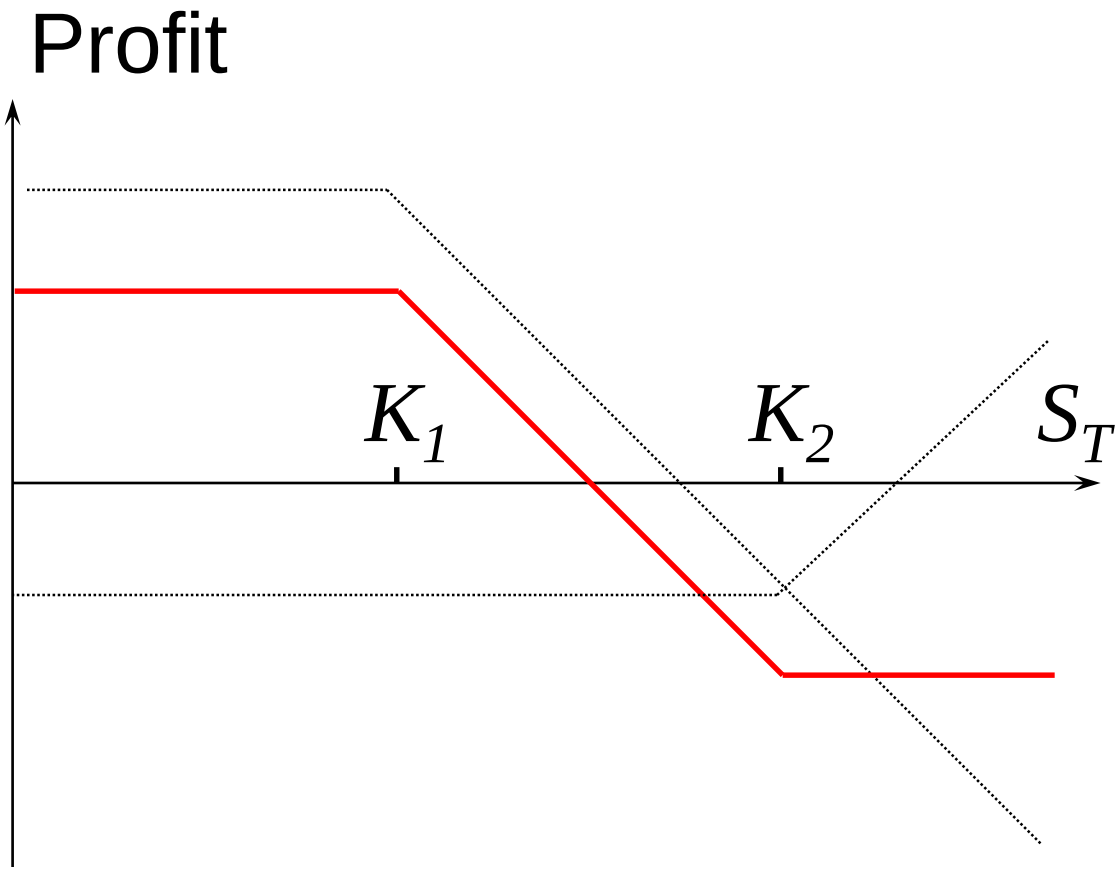
Bear Spread Using Puts

Figure 11.4, page 260



Bear Spread Using Calls

Figure 11.5, page 261

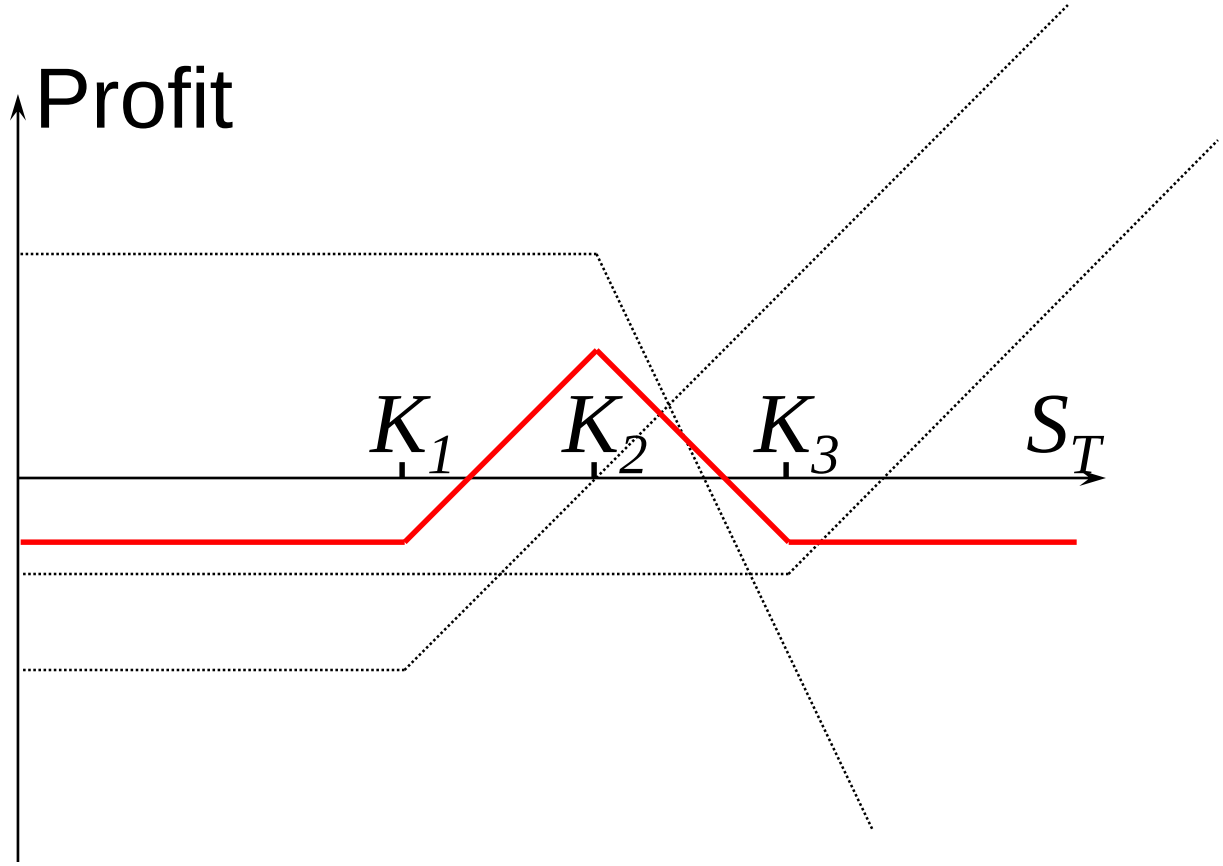


Box Spread

- A combination of a bull call spread and a bear put spread
- If all options are European a box spread is worth the present value of the difference between the strike prices
- If they are American this is not necessarily so (see Business Snapshot 11.1)

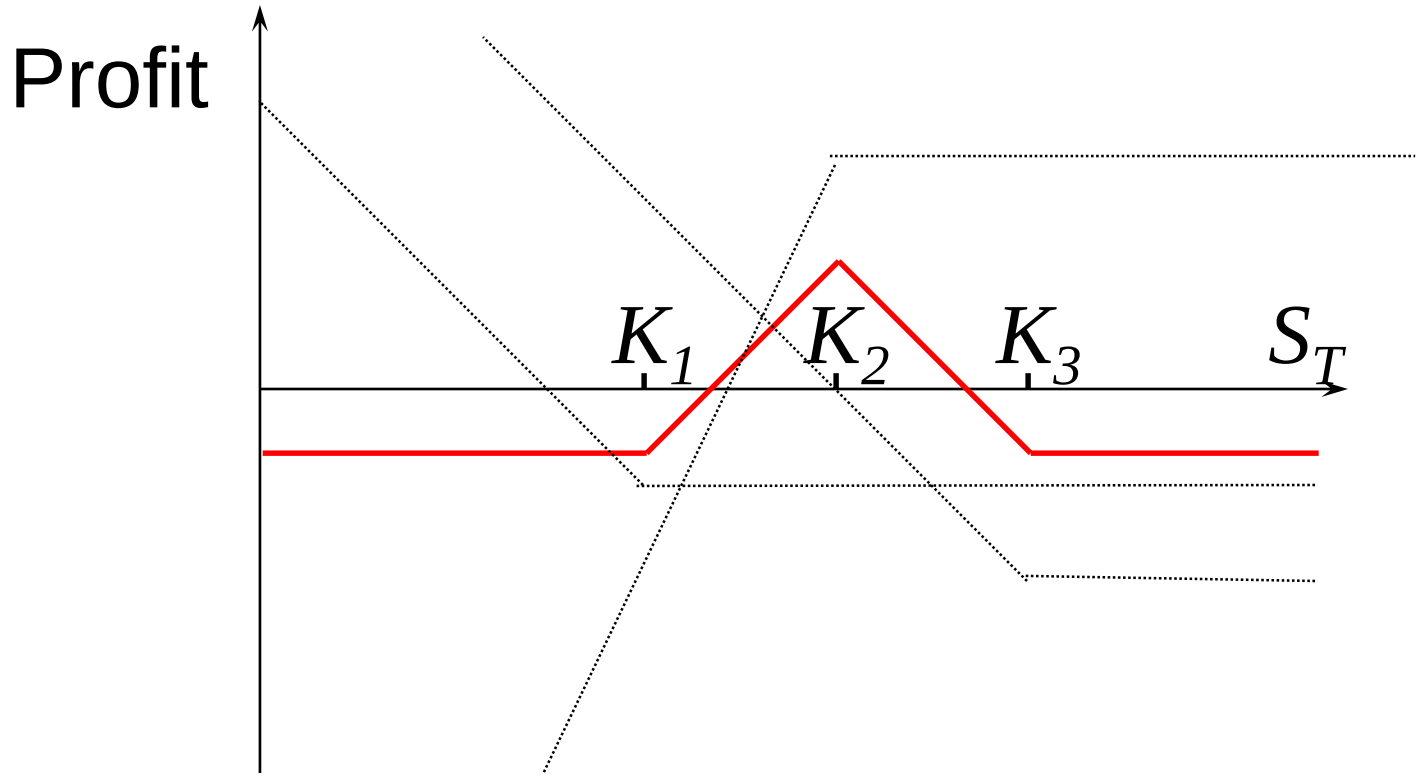
Butterfly Spread Using Calls

Figure 11.6, page 263



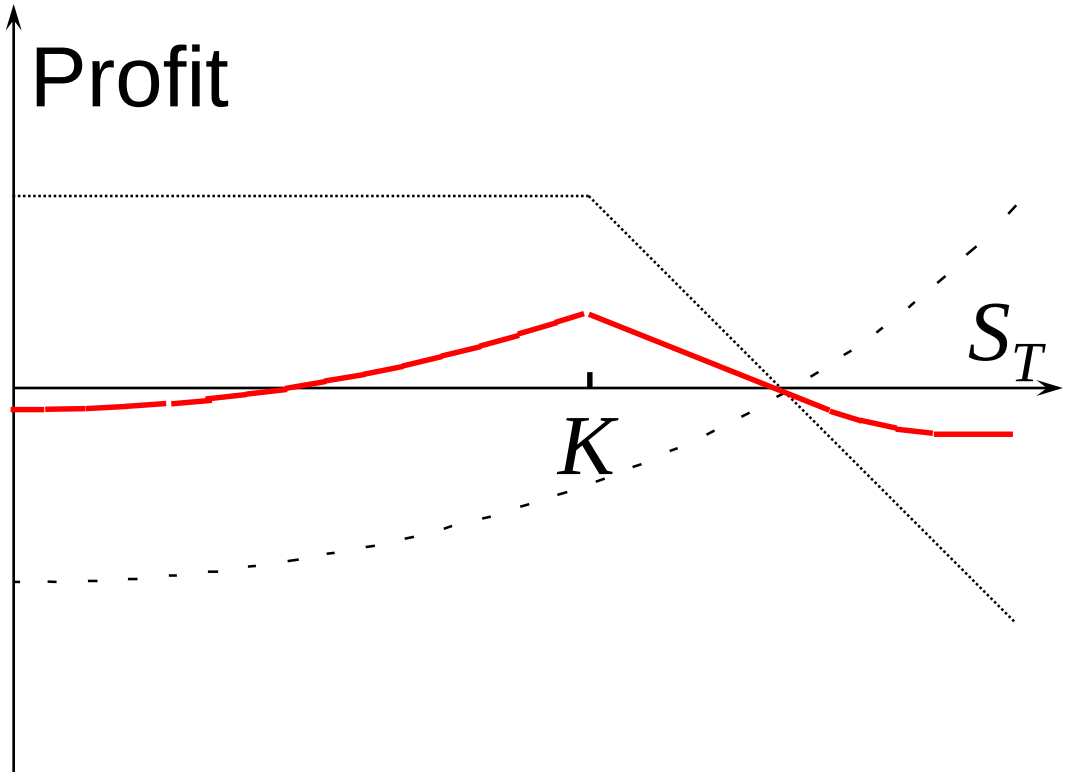
Butterfly Spread Using Puts

Figure 11.7, page 264



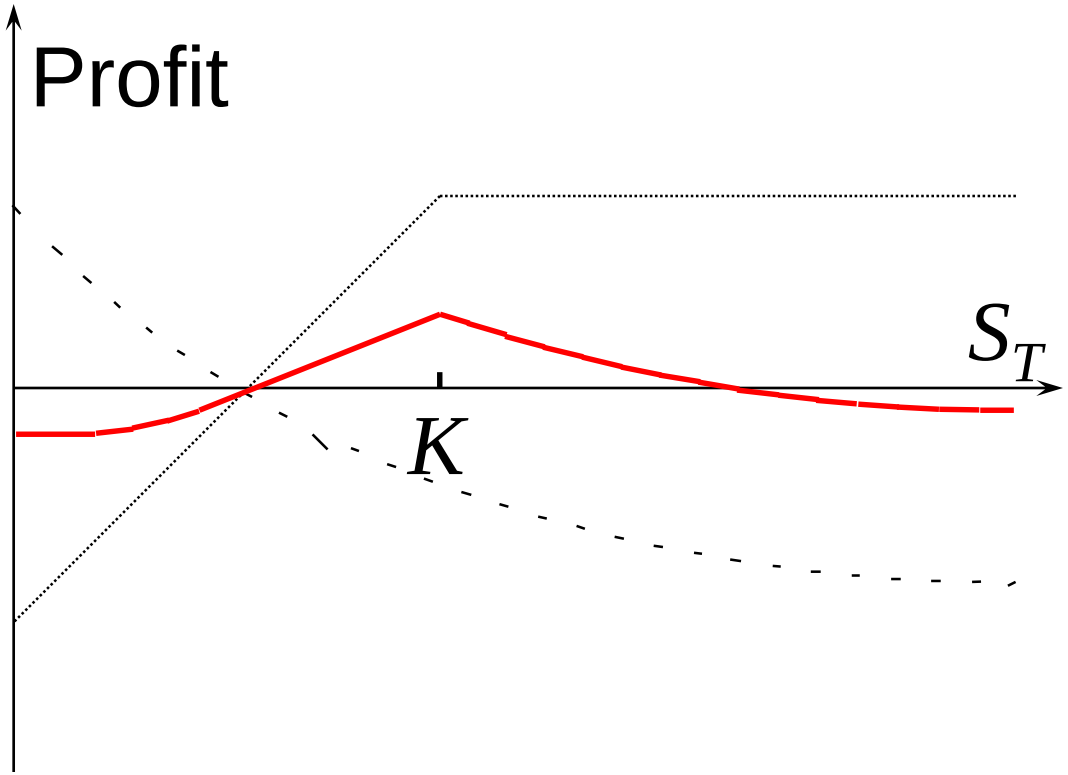
Calendar Spread Using Calls

Figure 11.8, page 265



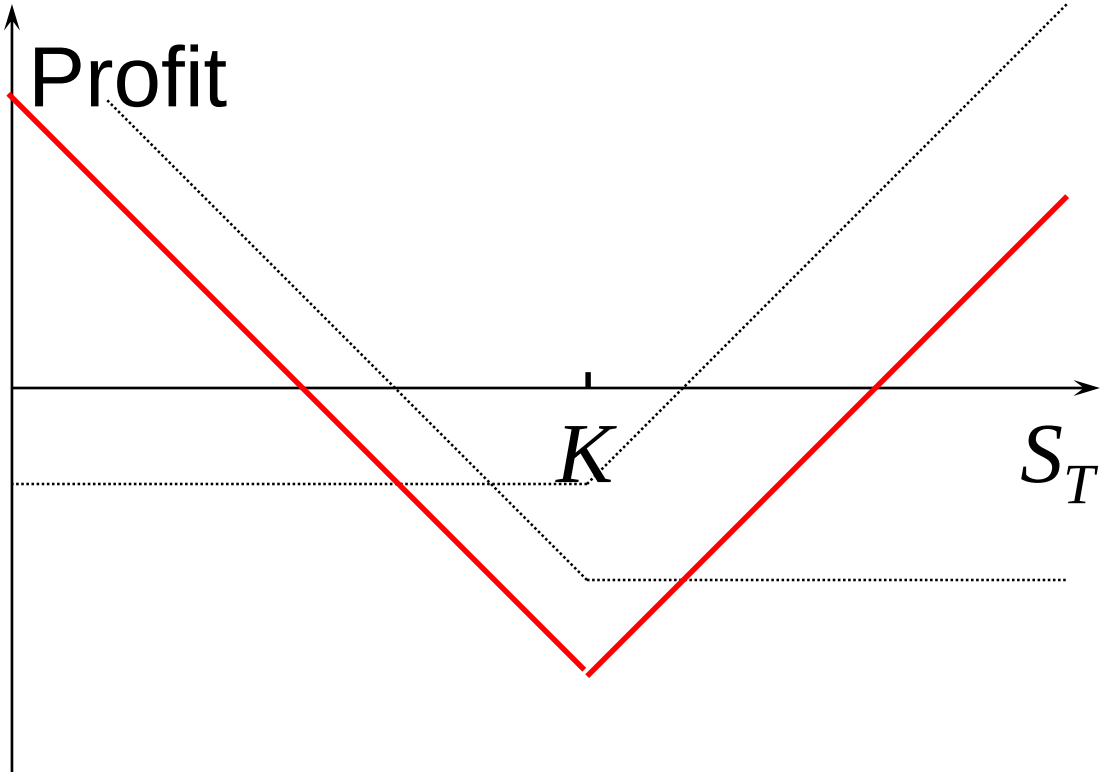
Calendar Spread Using Puts

Figure 11.9, page 265



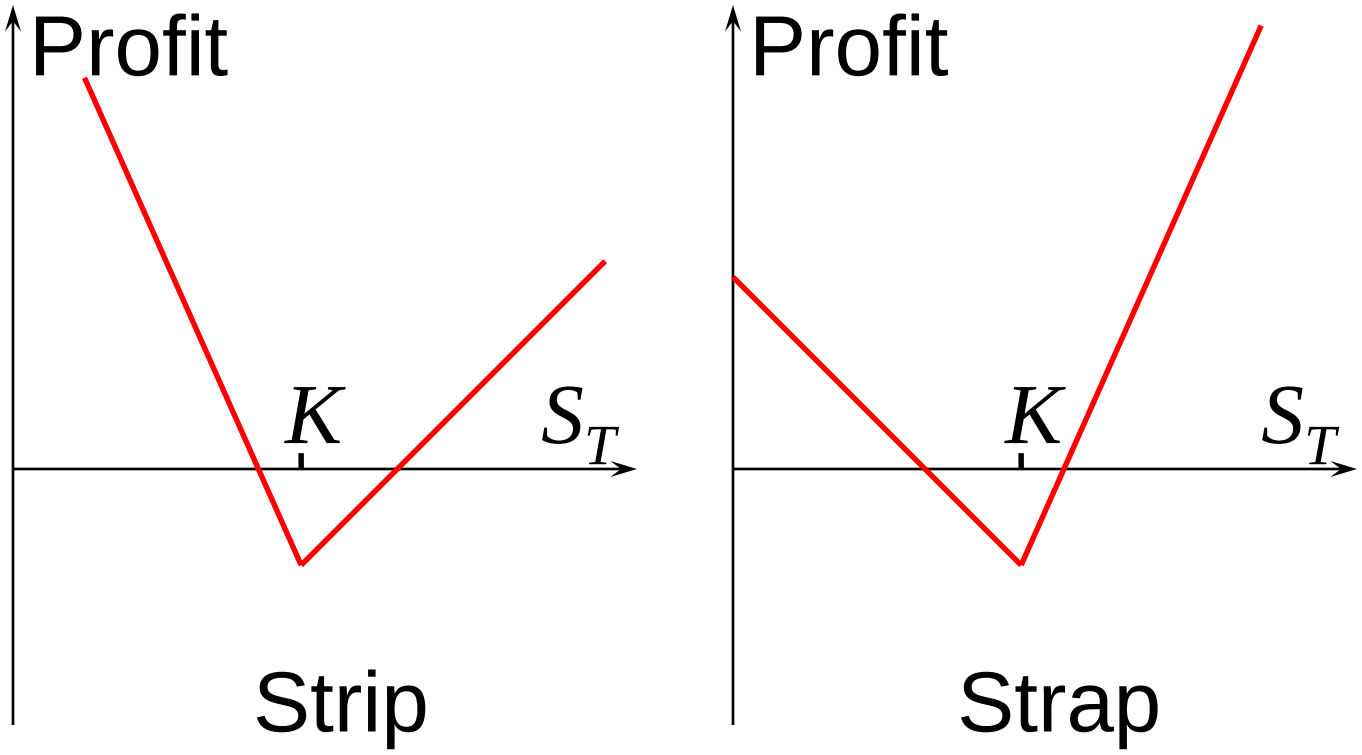
A Straddle Combination

Figure 11.10, page 266



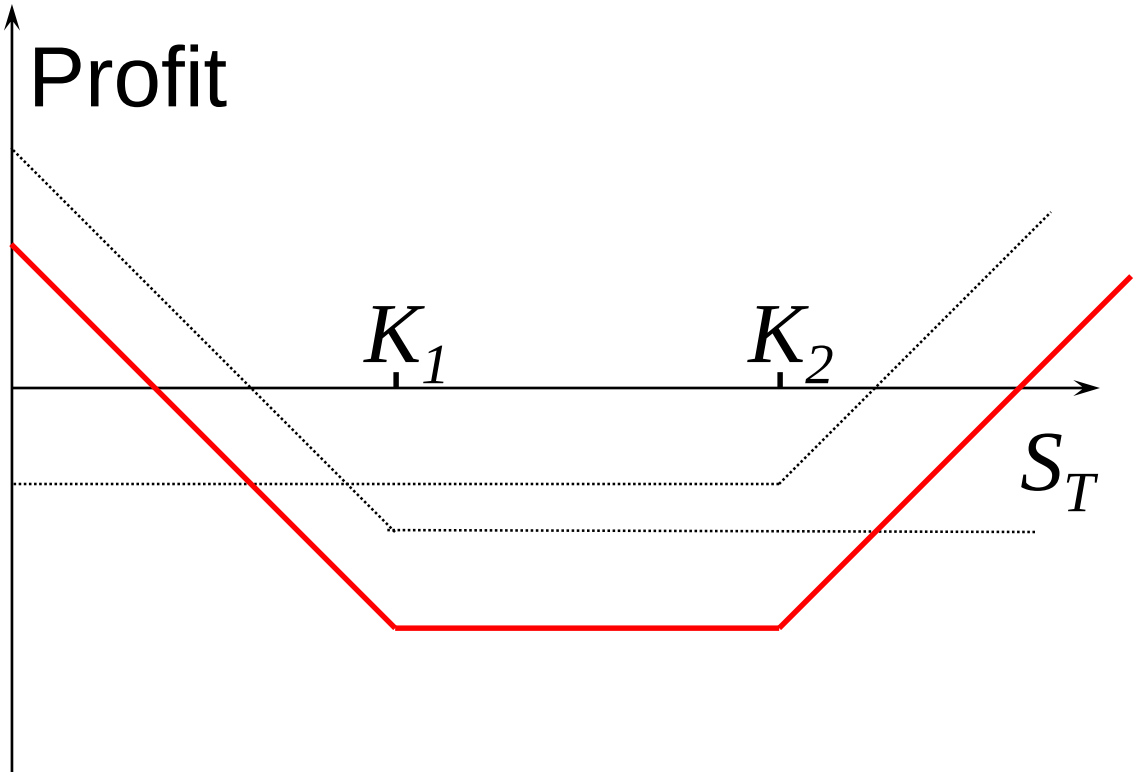
Strip & Strap

Figure 11.11, page 267



A Strangle Combination

Figure 11.12, page 268



Summary

- Four types of strategies
  - Bond plus option: principal protected note
  - Stock plus option
    - Writing a covered call
    - Reverse of writing a covered call
    - Protective put
    - Reverse of protective put

Summary

- Four types of strategies (cont'd)
  - Spread: two or more options of the same type
    - Bull spread: using calls, using puts
    - Bear spread: using calls, using puts
    - Box spread
    - Butterfly spread: using calls, using puts
    - Calendar spread: using calls, using puts

Summary

- Four types of strategies (cont'd)
  - Combination: two or more options of different types
    - Straddle
    - Strip
    - Strap
    - Strangle